EUROPEAN COMMISSION

Hearing Officer for competition proceedings

Brussels, 2 February 2024

# Final Report of the Hearing Officer[1]

# Case M.10149 – Korean Air Lines / Asiana Airlines

1. On 13 January 2023, the European Commission received a notification of a proposed concentration pursuant to Article 4 of Council Regulation (EC) No 139/2004[2] (the 'Merger Regulation') by which Korean Air Lines Co. Ltd., controlled by Hanjin KAL Co., Ltd, (together 'Korean Air' or 'the Notifying Party') would acquire, within the meaning of Article 3(1)(b) of the Merger Regulation, sole control of Asiana Airlines Inc. ('Asiana') (together the 'Parties'), by way of purchase of shares (the 'Proposed Transaction').

2. By decision of 17 February 2023, the Commission raised serious doubts as to the compatibility of the Proposed Transaction with the internal market and the EEA Agreement[3] and decided to initiate proceedings pursuant to Article 6(1)(c) of the Merger Regulation.

3. On 28 February 2023, the Notifying Party submitted written comments on the Commission's decision of 17 February 2023.

4. On 6 March 2023, upon the Notifying Party's request, and in accordance with Article 10(3), second subparagraph, of the Merger Regulation, the deadline for the Phase II review was extended by 20 working days.

5. On 17 May 2023, the Commission adopted a statement of objections ('SO') addressed to the Notifying Party, which was formally notified to the Notifying Party on the same day. Per standard procedure, Asiana was informed that an SO had been adopted. The Notifying Party was granted an initial deadline of 2 June 2023 to submit its observations on the SO.

6. On 22 and 26 May, 8 August, 11, 20 December 2023, 23 January and 1 February 2024, the Commission gave access to the file to the Notifying Party. I have not received any complaint or request from the Parties regarding access to the file.

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1 Pursuant to Articles 16 and 17 of Decision 2011/695/EU of the President of the European Commission of 13 October 2011 on the function and terms of reference of the hearing officer in certain competition proceedings, OJ L 275, 20.10.2011, p. 29 ('**Decision 2011/695/EU**').

2 Council Regulation (EC) No 139/2004 of 20 January 2004 on the control of concentrations between undertakings (the EC Merger Regulation), OJ L 24, 29.1.2004, p. 1.

3 Agreement on the European Economic Area, OJ L 1, 3.1.1994, p. 3.

7. On 25 May 2023, the Notifying Party requested an extension to reply to the SO, until 7 June 2023. On 26 May 2023, the Commission extended the deadline for the SO reply to 6 June 2023.

8. On 2 June 2023, the Notifying Party requested an extension to reply to the SO, until Wednesday 7 June 2023 included. On the same day, the Commission extended the deadline for the SO reply to 7 June 2023.

9. The Parties submitted their observations on the SO on 7 June 2023. The Parties did not request a hearing pursuant to Article 14 of Regulation (EC) No 802/2004.[4]

10. On 28 March and 26 May 2023, I admitted two entities as interested third persons in the present case. On 6 June 2023 these interested third persons received a non-confidential version of the SO with a deadline for their comments. Both third persons submitted comments on the non-confidential version of the SO, respectively on 9 and 14 June 2023.

11. On 28 June 2023, the Commission adopted a decision pursuant to Article 11(3) of the Merger Regulation (the 'Article 11(3) Decision'). The Article 11(3) Decision compelled Korean Air to submit a complete response to a previous request for information ('RFI') sent by the Commission and had the effect of suspending the time limits referred to in the first subparagraph of Article 10(3) of the Merger Regulation. The Notifying Party complied with the Article 11(3) Decision on 5 December 2023. The applicable time limit was therefore suspended from 23 June 2023 to 5 December 2023.

12. On 8 August 2023, a letter of facts ('LoF') was issued. The LoF informed the Parties about additional factual elements in support of the objections set out in the SO. DG Competition set a time limit to respond until 23 August 2023. On 23 August 2023, the Notifying Party commented on the LoF.

13. On 3 November 2023, the Notifying Party submitted a formal commitment package in order to address the identified competition concerns. On the basis of its assessment, the Commission concluded that these commitments would not solve the competition concerns identified by the Commission.

14. On 5 December 2023, the Notifying Party submitted revised commitments to the Commission (the 'Revised Commitments'). The Commission launched a market test on the Revised Commitments on 6 December 2023. On 9 January 2024 the Notifying Party submitted amended commitments (the 'Final Commitments').

15. In the draft final decision pursuant to Article 8(2) of the Merger Regulation, the Commission concludes that the Final Commitments are sufficient to address the competition concerns which the Commission had raised regarding the compatibility of the Proposed Transaction with the internal market. The draft decision therefore declares the Proposed Transaction compatible with the internal market and the functioning of the EEA Agreement, subject to full compliance with the Final Commitments.

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4 Commission Regulation (EC) No 802/2004 of 7 April 2004 implementing Council Regulation (EC) No 139/2004 on the control of concentrations between undertakings, OJ L 133, 30.4.2004, p. 1.

16. I have reviewed the draft decision pursuant to Article 16(1) of Decision 2011/695/EU and I conclude that it deals only with objections in respect of which the Parties have been afforded the opportunity of making their views known.

17. In view of the above, I consider that the effective exercise of procedural rights has been respected in this case.

Eric GIPPINI FOURNIER
Hearing Officer